

From Idle Capacity to Revenue Growth: A Strategy for Reading Cinemas Australia

A Commercial Strategy to Increase Utilisation, Revenue, and Customer Habit Formation

Strategic Commercial Review & Growth Recommendations – Melbourne & Regional Expansion

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Prepared for

Executive Leadership Team

Reading Cinemas Australia

Date

June 2026

Executive Summary

Melbourne is a mature, highly competitive cinema market where audience share is concentrated among a small number of major national chains. Reading Cinemas operates in a high fixed-cost environment where near-term growth through new screens is constrained. The core commercial challenge is not weak demand. It is suboptimal utilisation of existing capacity, weak weekday habit formation, digital friction in the booking journey, and limited differentiation in a market where competitors have largely pursued conservative, low-innovation strategies.

This report recommends a phased commercial strategy across nine initiatives, organised into three clusters: pricing optimisation, customer experience, and audience growth. Each initiative is designed to be piloted at selected Melbourne venues, measured against clear performance indicators, and scaled only where commercial impact is demonstrated.

The strategy delivers value across three dimensions. Commercially, it converts idle inventory into incremental revenue, smooths demand across the week, and lifts revenue per available seat without diluting peak session yield. Strategically, it differentiates Reading through value-led access, improved digital experience, and local relevance in a market where competitors have shown limited innovation. Operationally, stronger digital adoption improves data capture and enables more targeted demand activation over time.

In an industry defined by high fixed costs and constrained short-term expansion, extracting greater value from existing assets and building stronger customer habits is a decisive advantage. The initiatives outlined provide a disciplined pathway to strengthen market position, grow habitual movie-going, and establish Reading Cinemas as the most progressive and customer-focused cinema brand in Australia.

1. Market Context & Observations

Melbourne is a mature, highly competitive cinema market where audience share is concentrated among a small number of major national chains. In this environment, near-term growth will not come from expanding physical footprint. It will come from extracting greater value from existing assets, customer relationships, and underutilised capacity.

Major competitors including Village Cinemas, Hoyts, and Event Cinemas continue to rely on largely static pricing models, standardised concessions offerings, and limited experimentation in dynamic pricing or localised programming. None have meaningfully pursued weekday demand activation or off-peak yield optimisation at scale. This creates a clear window for Reading Cinemas to move first.

The core challenge is not weak demand. Across Reading Cinemas venues, occupancy drops predictably during weekdays (Monday to Thursday), off-peak sessions, and screenings of lower-profile titles. Consumer behaviour evidence is clear: customers will shift to off-peak sessions when pricing, convenience, and perceived value are aligned. These low-fill sessions are a structural revenue opportunity waiting to be activated.

Digital friction compounds the problem. Booking fees and a cumbersome online journey suppress conversion, reduce Reading's ability to capture customer data at scale, and limit its capacity to influence behaviour through targeted engagement. Every customer who delays or abandons an online booking is a lost conversion and a missed data point.

Beyond Melbourne, high-population regional centres represent a credible medium-term growth path. These markets offer strong community loyalty, lower competitive intensity, and an absence of dominant incumbents. Targeted entry, backed by locally relevant programming, positions Reading to become the default cinema brand in catchments that major chains have largely overlooked.

Key Market Challenges and Opportunities

Challenge	Current State	Opportunity
Off-peak underutilisation	Low weekday and off-peak occupancy	Activate price-sensitive demand and convert idle capacity to revenue
Lower-profile title fill rates	Below-average occupancy for non-tentpole films	Value pricing to drive trial and word of mouth

Digital friction and booking fees	Suppressed online conversion and limited data capture	Remove friction, capture commitment earlier, and build data asset
Regional market gap	Limited Reading presence outside metro Melbourne	Early-mover advantage in underserved high-population centres

2. Key Commercial Operations

The following five opportunities represent the highest-impact levers available to Reading Cinemas within its existing asset base. Each is designed to improve utilisation, increase revenue per customer, or strengthen long-term preference without requiring significant capital expansion in the near term.

Core Commercial Opportunities and Strategic Levers

Opportunity	Problem	Lever	Expected Outcome
Monetise Underutilised Capacity	Seats going unsold in off-peak and lower-profile sessions	Differentiated pricing for low-fill seats and sessions	Incremental revenue from idle inventory without diluting peak yield
Build Habitual Weekday Attendance	Structurally low demand Monday to Thursday	Targeted weekday value pricing for students and flexible workers	Smoother weekly demand, higher utilisation, early brand loyalty
Food and Beverage Uplift	Standardised menus limiting per-visit spend	Low-cost product upgrades and locally relevant snack options	Higher average transaction value and stronger in-venue experience
Remove Digital Friction	Booking fees and poor app experience suppressing online conversion	App redesign, simplified booking journey, removal of booking fees	Higher online conversion, earlier demand commitment, richer data capture
Regional Expansion	Underserved high-population centres with low	Selective entry with locally tailored	New defensible revenue streams and

	competitive intensity	programming and partnerships	early-mover brand advantage
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2.1 Monetise Underutilised Capacity

A significant proportion of seating capacity goes unused across off-peak sessions, particularly front and side seats and screenings of lower-profile titles. This is structurally low-yield inventory that currently delivers limited commercial value.

Introducing differentiated pricing for low-fill seats and sessions converts unused capacity into incremental revenue without touching pricing power for premium seating or peak sessions. It improves total session yield by activating price-sensitive demand where capacity would otherwise sit empty.

Fuller sessions also improve the in-theatre experience. Customers are more likely to enjoy and repeat cinema visits when a session feels active and socially engaging. Creating that atmosphere reinforces the emotional value of going to the cinema and makes theatrical viewing more compelling than staying home.

Even a modest 10% improvement in off-peak seat utilisation across Melbourne venues could generate meaningful incremental revenue per site annually, without any additional marketing spend or capital investment.

2.2 Build Habitual Weekday Attendance

Weekday sessions from Monday to Thursday experience structurally lower demand despite available excess capacity. This is a clear opportunity to reposition weekdays as a value-driven attendance window, increasing total weekly visitation without diluting weekend pricing.

Targeted weekday pricing attracts segments with greater daytime availability, particularly students and part-time workers who are price-sensitive and responsive to value-led propositions. These are also the audiences most likely to develop habitual cinema-going behaviour over time.

Building weekday habit among younger audiences creates a pipeline of loyal customers whose frequency and spending power grows as their lifestyles evolve. Owning the weekday occasion is a low-cost, long-term brand investment.

A consistent weekday pricing offer that lifts Monday to Thursday attendance by 15 to 20% could materially smooth weekly revenue curves and reduce dependence on blockbuster release windows.

2.3 Food and Beverage Uplift

Food and beverage is a high-margin revenue stream that plays a meaningful role in shaping overall satisfaction and perceived value of the cinema experience. Even small product improvements can lift average transaction size and set Reading apart from competitors offering largely standardised menus.

Simple upgrades such as flavoured butter options for popcorn and nachos served with two dips increase perceived value without meaningfully adding operational complexity or cost. There is also scope to selectively introduce popular international cinema snacks and trial lines that align with local preferences.

A more distinctive concessions offering strengthens brand identity, increases attachment rates, and improves commercial performance per visit without requiring significant operational change.

An incremental food and beverage spend of \$1.50 to \$2.00 per customer visit, applied across total annual attendance, represents a significant high-margin revenue opportunity that requires no new infrastructure.

2.4 Remove Digital Friction and Improve Conversion

Friction in the mobile app and online booking journey, compounded by booking fees, suppresses conversion and reduces Reading Cinemas' ability to capture customer intent at the moment of decision.

A simpler, faster booking experience reduces cognitive effort and increases the likelihood that browsing converts into a confirmed purchase. Capturing that commitment online, rather than leaving it to an in-venue decision, reduces drop-off and improves session predictability. Removing or reducing online booking fees lowers the final barrier to digital purchase.

Industry benchmarks suggest that removing booking fees and simplifying checkout flows can lift online conversion rates by 3 to 5%, translating to a meaningful increase in confirmed weekly ticket sales and a stronger customer data asset over time.

2.5 Expand Audience Coverage in High-Potential Regional Markets

High-population regional centres represent a credible medium-term growth opportunity. These markets offer strong community demand, limited competitive intensity, and an absence of the premium cinema experiences that Melbourne audiences take for granted.

In regional centres, customer choice is driven heavily by convenience and habit. Securing early brand presence creates a structural advantage where Reading becomes the default cinema option within each catchment before larger competitors take notice.

A locally tailored approach, including programming aligned to community demographics and partnerships with local organisations, further entrenches Reading as the preferred brand in these regions.

3. Proposed Reading Cinemas Plan (Detailed Initiatives)

Nine initiatives are proposed across three strategic clusters: pricing optimisation, customer experience, and audience growth. Each is designed to be piloted, measured, and scaled based on demonstrated performance.

CLUSTER A: PRICING OPTIMISATION

Activate idle inventory and smooth demand across the week through targeted, disciplined pricing.

Initiative	Problem	Action	Outcome
3.1 Differentiated Seat Pricing	Front and side seats unsold in low-fill sessions	Lower pricing on structurally underperforming seats only	Incremental revenue from idle inventory without touching peak yield
3.2 Value Pricing for Lower-Profile Titles	Below-capacity occupancy for non-tentpole films	Reduced pricing across all seats for selected lower-profile screenings	Higher occupancy, improved in-theatre atmosphere, positive word of mouth
3.3 Weekday Value Pricing	Structurally low Monday to Thursday attendance	Consistent weekday pricing for students and flexible workers	Smoother weekly demand, higher utilisation, early brand loyalty

3.1 Differentiated Seat Pricing for Low-Fill Sessions

Introduce lower pricing for front and side seats on sessions that historically underperform in occupancy. This converts structurally low-demand seating into incremental revenue without discounting preferred seats or undermining pricing on peak sessions. Activating price-sensitive demand only where capacity would otherwise sit empty improves total session economics while protecting yield on high-demand inventory.

3.2 Value Pricing for Lower-Profile Titles

Apply targeted value pricing across all seats for selected lower-profile films to increase occupancy and total session revenue. Lower pricing reduces the barrier to trial for customers uncertain about lesser-known titles, improving the in-theatre atmosphere and increasing the likelihood of positive word of mouth. This also positions Reading Cinemas as a venue that encourages content discovery, strengthening brand perception beyond blockbuster seasons.

3.3 Weekday Value Pricing (Monday to Thursday)

Introduce targeted weekday pricing to stimulate off-peak attendance and build habitual visitation during structurally low-demand periods. A consistent weekday value proposition captures demand currently lost to competitors or at-home viewing, smooths demand across the week, and over time establishes Reading as the default choice for flexible movie-going in Melbourne.

CLUSTER B: CUSTOMER EXPERIENCE

Improve the in-venue and digital experience to increase per-visit value and online conversion.

Initiative	Problem	Action	Outcome
3.4 Food and Beverage Differentiation	Standardised menus limiting spend and differentiation	Low-cost product upgrades and locally relevant snack options	Higher average transaction value and stronger in-venue experience
3.5 Digital Experience Redesign	Cumbersome app and booking journey suppressing conversion	Redesign app and online booking flow for speed and simplicity	Higher online conversion and earlier demand commitment
3.6 Remove Online Booking Fees	Booking fees deterring digital purchase	Eliminate or reduce fees at pilot locations	Increased digital adoption, richer data capture, stronger customer preference

3.4 Food and Beverage Differentiation

Enhance concessions through low-cost product upgrades such as flavoured butter options for popcorn and nachos served with two dips. These improvements lift perceived value and average transaction size with minimal operational disruption. In a market where major chains offer largely standardised menus, a more distinctive concessions offering is a simple and credible point of differentiation.

3.5 Digital Experience Redesign

Redesign the Reading Cinemas mobile app and online booking journey to reduce friction, improve usability, and increase conversion. A faster, more intuitive booking experience captures customer intent at the point of decision and reduces the likelihood of delayed or abandoned purchases. A modernised digital platform also enables personalised offers, session recommendations, and targeted promotions, positioning digital channels as a growth engine rather than a transactional utility.

3.6 Remove Online Booking Fees to Drive Digital Adoption

Eliminate or reduce online booking fees to shift transactions from in-venue to online channels. Removing this barrier increases confirmed online bookings, improves demand predictability, and enables richer customer data capture. It also serves as a clear point of differentiation, positioning Reading Cinemas as the most transparent and customer-friendly option for online booking in the market.

CLUSTER C: AUDIENCE GROWTH

Extend reach through regional expansion, localised programming, and curated experiences.

Initiative	Problem	Action	Outcome
3.7 Regional Expansion	Underserved high-population centres outside Melbourne	Selective entry into Bendigo, Ballarat, and Geelong	New defensible revenue streams and early-mover brand advantage
3.8 Localised Programming	Generic programming limiting community relevance	Introduce one or two locally relevant titles per programming cycle	Stronger local brand affinity and habitual visitation
3.9 Curated Re-Screenings	Off-peak capacity underutilised	Schedule classic and cult film sessions in	Nostalgia-driven attendance, stronger

	beyond new releases	low-demand time slots	brand affinity among film enthusiasts
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3.7 Medium-Term Regional Expansion Strategy

Target high-population regional centres including Bendigo, Ballarat, and Geelong for new cinema locations as a medium-term growth initiative. These markets offer strong community demand, lower competitive intensity, and an absence of dominant incumbents. Early entry enables Reading to establish habitual local patronage and build defensible market positions ahead of larger chains. Over the longer term, selective acquisition of underperforming sites in strategically attractive locations may also be considered, subject to disciplined financial assessment.

3.8 Localised Programming by Demographic Profile

Tailor a small portion of film programming to the demographic profile of each venue's catchment, introducing one or two locally relevant titles per programming cycle without overhauling the full schedule. Selectively programming Australian films or culturally relevant titles improves session utilisation, strengthens community relevance, and builds habitual visitation among customers who live close to each venue.

3.9 Curated Re-Screenings of Popular Legacy Titles

Schedule selected classic and cult films in limited off-peak sessions to drive nostalgia-led demand and create event-style cinema experiences. Applied in a targeted way, these sessions improve utilisation without displacing new releases, attract film enthusiasts, and reinforce Reading Cinemas as a destination for genuine movie lovers rather than purely a first-run multiplex.

4. Measurement & Success Metrics

Performance should be tracked across six metric areas, aligned to the initiative clusters in Section 3. Pilots should be evaluated against these indicators before any initiative is scaled.

Measurement Framework and Success Metrics

Metric Area	What to Track	What It Tells You
Attendance and Utilisation	Overall attendance, off-peak fill rates, seat utilisation by category	Whether pricing and programming initiatives are converting idle capacity into

		incremental attendance without cannibalising high-yield sessions
Revenue and Yield	Total session revenue, average ticket yield by session type, revenue per available seat	Whether revenue growth is driven by incremental demand activation rather than dilution of peak session pricing
Food and Beverage Performance	Average transaction value per customer, attachment rates for new products, total food and beverage revenue growth	Whether product upgrades are lifting per-visit spend and contributing to improved venue economics
Digital Adoption and Conversion	Online purchase rates, app usage growth, booking funnel drop-off rates, shift from in-venue to online transactions	Whether digital friction is being reduced and whether improvements are converting browsing intent into confirmed bookings
Customer Behaviour and Loyalty	Repeat visitation rates, weekday versus weekend attendance shifts, response to re-screenings and localised programming by customer segment	Whether initiatives are building stronger habits, increasing visit frequency, and converting infrequent visitors into loyal customers
Regional Market Performance	Opening month attendance, revenue ramp-up trajectory, market penetration relative to local population	Whether regional sites are viable, whether site selection and programming are effective, and where to prioritise future rollout

5. Estimated Commercial Impact

The following estimates are directional and based on conservative assumptions. They are intended to illustrate the order of magnitude of opportunity rather than serve as financial forecasts.

Estimated Commercial Impact by Initiative

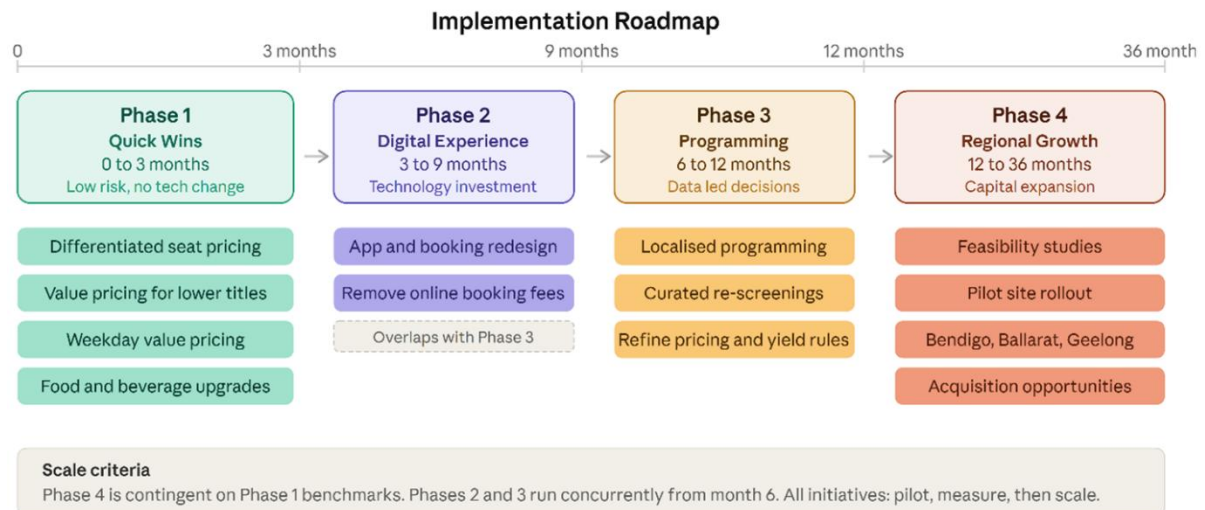
Initiative	Conservative Assumption	Directional Opportunity
Off-peak seat pricing	10% uplift in off-peak utilisation across Melbourne venues	Incremental revenue per site per year from previously idle inventory
Weekday value pricing	15 to 20% attendance increase Monday to Thursday	Smoother weekly revenue, reduced blockbuster dependency
Food and beverage uplift	\$1.50 to \$2.00 additional spend per customer visit	High-margin revenue growth with no infrastructure cost
Remove booking fees	3 to 5% online conversion improvement	Additional confirmed ticket sales weekly, stronger data capture
Regional expansion	New sites in Bendigo, Ballarat, Geelong	New revenue streams with lower competitive pressure than metro Melbourne

A formal financial model with venue-level assumptions should be developed prior to Phase 1 pilot launch to establish baselines and define success thresholds for each initiative.

Collectively, these initiatives have the potential to deliver a double-digit percentage uplift in total venue revenue across the Melbourne network, driven by a combination of utilisation gains, increased per-visit spend, and improved digital conversion. This is not contingent on a single large bet. It is the compounded result of multiple targeted improvements, each validated through pilots before being scaled. The commercial case strengthens as initiatives build on each other over the 36-month roadmap.

6. Implementation Roadmap & Phasing

The four phases are designed to sequence risk appropriately. Low-capital pricing and experience initiatives come first, technology investment second, and regional expansion only once metropolitan performance is validated. All initiatives follow a pilot, measure, and scale model before broader deployment.



Phase 1 focuses on initiatives that require no technology change and carry minimal operational risk, trialled across a small number of representative Melbourne venues. Phase 2 commences the app redesign and removal of booking fees, with performance from Phase 1 informing the scope of digital investment. Phases 2 and 3 overlap from month 6, with localised programming and curated re-screenings introduced in parallel as data from earlier pilots becomes available. Phase 4 regional expansion begins only once metropolitan benchmarks are met, with feasibility assessments for Bendigo, Ballarat, and Geelong leading into selective site rollout.

7. Risks, Constraints & Mitigations

While the proposed initiatives present clear commercial upside, successful execution requires active management of operational, financial, and brand-related risks. Proactively identifying and mitigating these risks increases the likelihood of sustainable outcomes and ensures that short-term performance improvements do not undermine long-term brand positioning or profitability.

Six risks have been identified across commercial, operational, technology, and brand dimensions. Each is assessed below with likelihood, impact, and the recommended mitigation approach.

Risk Assessment and Mitigation Framework

Risk	Likelihood	Impact	Mitigation
Revenue dilution Discounting reduces average ticket yield if not tightly governed	Medium	High	Limit discounts strictly to low-fill sessions and off-peak days. Protect peak and premium seat pricing. Monitor revenue per available seat weekly.
Brand perception Frequent discounting repositions Reading as a cheap option	Low	High	Frame all pricing as value-led access, not discounting. Pair with visible experience improvements and distinctive food and beverage to protect brand equity.
Operational complexity Dynamic pricing and localised programming increase frontline burden	Medium	Medium	Use simple pricing rules, defined governance frameworks, and phased pilots at representative venues before broader rollout. Automate scheduling progressively.
Technology delivery App redesign introduces execution risk and delivery delays	Medium	High	Deliver via MVP releases with continuous user testing at pilot venues. Define clear success criteria per release before committing further investment.
Regional expansion New sites carry capital risk and demand uncertainty	Low	High	Conduct data-led feasibility studies with conservative site selection criteria. Use metropolitan pilot benchmarks to inform capital deployment decisions.
Change management Frontline teams face complexity from new workflows and pricing models	Medium	Medium	Provide clear operational guidelines and targeted training. Involve venue leaders early in pilot design to build ownership and reduce adoption friction.

Key **Low** **Medium** **High**

All six risks are manageable through disciplined piloting, clear pricing guardrails, and phased execution. Revenue dilution is the most operationally immediate risk and requires weekly monitoring of revenue per available seat from the moment pilot pricing goes live. Any unintended spread of discounting into peak sessions must be caught and corrected quickly. Brand perception risk is lower in likelihood but high in consequence; every customer-facing communication around pricing should reinforce quality and experience, not price.

Technology delivery risk is the most unpredictable in timeline and should be managed through MVP releases with hard go or no-go criteria at each stage, ensuring investment is never committed ahead of demonstrated conversion improvement. The highest-priority risks are revenue dilution, technology delivery, and regional expansion, each carrying high impact if not actively governed.

8. Conclusion & Strategic Recommendation

The Australian cinema market is not in structural decline. The demand exists. The execution does not. Underutilised capacity, suppressed off-peak demand, and digital friction are operational problems with operational solutions, not symptoms of a market in retreat. Reading Cinemas is well positioned to address each of them, and to do so before larger competitors recognise the same opportunity.

The strategy outlined in this report is deliberately sequenced. Near-term pricing and experience initiatives generate incremental revenue from existing assets with minimal capital outlay. Digital investment in Phase 2 builds the data and conversion infrastructure that makes later initiatives more precise and more effective. Regional expansion in Phase 4 follows only once the model is proven, ensuring disciplined capital deployment rather than speculative growth.

The broader ambition is category leadership. By making cinema attendance more accessible, more habitual, and more locally relevant, Reading Cinemas can grow the overall market rather than compete solely for existing peak demand. With disciplined execution and a willingness to move while competitors remain anchored to conventional approaches, Reading Cinemas has a clear pathway to become the most progressive and customer-focused cinema brand in Australia.